As the assignment says, we predict the model to take a long position when RSI falls below 30 and exits when RSI rises above 50, covering January 2005 to November 2026. To avoid look-ahead bias, positions are based on the previous day's signal. Transaction costs of 5 basis points per trade are included.

Table 1. Comparison of the RSI Mean-Reversion Strategy and Buy-and-Hold (AAPL, 2005–2026)

	Annualised Return	Annualised Volatility	Sharpe Ratio	Maximum Drawdown
RSI Strategy	5.04%	19.20%	0.352	-57.67%
Buy-and-Hold	31.04%	31.94%	1.006	-60.87%

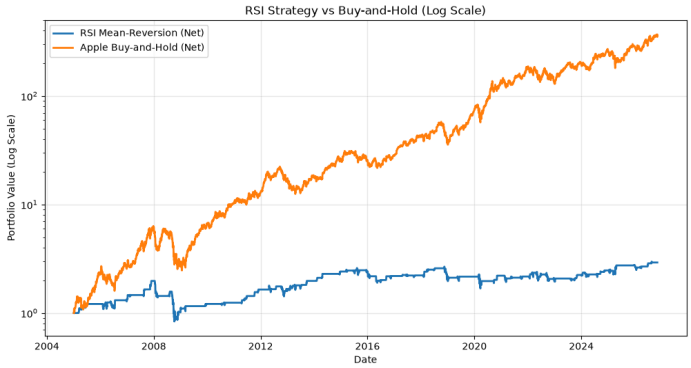


Figure 1. Equity Curves of the RSI Strategy and Buy-and-Hold (Logarithmic Scale)

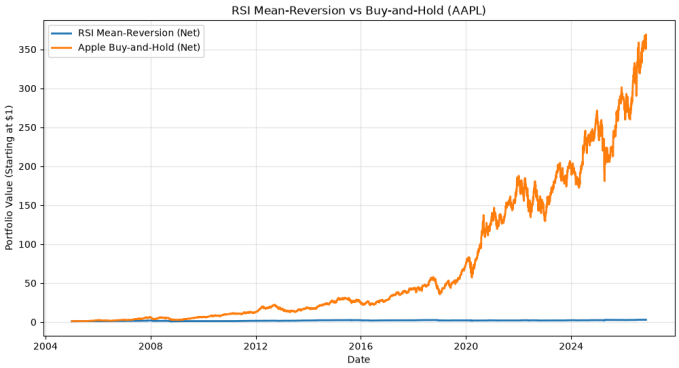


Figure 2. Equity Curves of the RSI Strategy and Buy-and-Hold (Linear Scale)

The RSI strategy achieved lower volatility and maximum drawdown, but underperformed buy-and-hold in both annualised return and Sharpe ratio. Apple's strong long-term upward trend caused our RSI strategy to miss much of its growth compared to buy-and-hold.